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6. Funds required for purchasing current assets is an example for
   a. Fixed Capital Requirement
   b. Ploughing Back of Profits
   c. Working Capital Requirement
   d. Lease Financing

7. Which of the following holder is given voting right?
   a. Debentures b. Preference Shares
   c. Equity shares d. Bonds

8. It may be wise to finance fixed assets through _____
   a. Creditors
   b. Long term debts
   c. Bank Overdraft
   d. Bills Discounting

Answers

1. a 2. d 3. c 4. a 5. b
6. c 7. c 8. b

II. Very Short Answer Questions

1) Write a short notes on debentures.
2) What do you mean by public deposits?
3) Name any two sources of funds classified under borrowed funds.
4) Name any two internal sources of business finance.
5) State any two factors that affect the choice of source of finance.

III. Short Answer Questions

1. Define Business finance.
2. What is pledge?
3. List sources of raising long-term and short-term finance.
4. For which purpose fixed capital is needed in business?
5. What do you mean by working capital requirement of business?

IV. Long Answer Questions

1. List out the various sources of financing.
2. What are the different types of short term finances given by commercial banks?
3. Write short notes on 1.Retained Earnings 2. Lease financing
4. Write short notes on a) owner's funds b) borrowed funds
5. Explain any four personal investment avenues.

Project work

1. Visiting a bank in your locality and find out from them about the various ways in which they provide finance to small business enterprises.
2. Kumaran had started his leather bag business as a sole proprietor, with a capital of ₹10,00,000/-. Now, after five years, he has decided to expand his business in the form a company. As a commerce student, give your suggestions to find out the various long term financial sources to generate funds for his company.

Reference

1. Business Finance R.M.Srivatsava,and others 1996 by Himalaya Publishing House Mumbai
2. Financial management Dr A. Murthy 2016 Margham Publications Chennai 17